IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CP/590-592/CAA/2019
In
CA/157/CAA/2018

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Between

M/s. GSH Environmental Services Private Limited
(Transferor Company 1)

And

M/s. GSH Technical Services Private Limited
(Transferor Company 2)

With

M/s. GSH Facilities Management Services Private Limited
(Transferee Company)

With

Their Respective Shareholders

Order delivered on 2nd August, 2019

CORAM

B. S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)
S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

For the Petitioner: *Mr. Venkatesh.N, PCS*
For the OL: *Mr. B. Palani, Authorised Representative*

ORDER

Per: S.VIJAYARAGHAVAN, MEMBER (TECHNICAL)

Order Pronounced on: 02.08.2019

1. Under consideration are 3 Company Petitions No. CP/590-592/CAA/2019 filed under Section 230 to 232 of the Companies Act, 2013. The instant Petition pertains to the proposed Scheme of Arrangement (in Short, **'Scheme'),** by virtue of which Amalgamation of M/s. GSH Environmental Services Private

Limited (hereinafter referred to as 'Transferor Company-1') and M/s. GSH Technical Services Private Limited (hereinafter referred to as 'Transferor Company-2') with M/s. GSH Facilities Management Services Private Limited (hereinafter referred to as 'Transferee Company') in consideration of issue and allotment of Equity Shares in the Transferee Company to the Equity Shareholders of Transferor Company-1 and Transferor Company-2.

2. The Transferor Company 1 was incorporated under the Companies Act, 1956 on March 18, 2014 and is engaged in the business of providing Environmental Services like waste management, housekeeping, e-waste and etc., having its registered Office at New No. 14, Old No. 20, Thiru-Vi-Ka 3rd Street, Mylapore, Chennai, TN-600004. The Transferor Company 2 was incorporated on March 12, 2015 and is engaged in the business of providing Technical Services like engineering, maintenance services and etc., having its registered office at New No. 14, Old No. 20, Thiru-Vi-Ka 3rd Street, Mylapore, Chennai, TN-600004. The Transferee Company was incorporated on March 19, 2015 and is engaged in the business of providing Facility Management Servicesand etc., having its registered office at New No. 14, Old No. 20, Thiru-Vi-Ka 3rd Street, Mylapore, Chennai, TN-600004. The Board of Directors of the Transferor Companies 1 & 2 and Transferee Company vide their Resolution(s) dated 12.04.2018, have approved the present Scheme of Amalgamation. The other necessary requirements have also been fulfilled as per the Order dated 18.09.2018

passed by this Bench in CA/157/CAA/2018.

3. The Counsel appearing for the Petitioner Companies has submitted that the Scheme is proposed to the advantage of the said Companies for Integration of Operations, Rationalisation of administrative, operative, financial cost, avail synergies and will have beneficial results for the said Companies, their shareholders, employees and all concerned. He has further submitted that no investigation proceedings are pending against the Petitioner Companies under the provisions of the Companies Act, 2013.

4. The Clause 4 of the Scheme of Amalgamations filed with the Petition envisage for transfer of the entire businesses and the Undertakings of the Transferor Companies including all the debts, liabilities, duties and obligations of the Transferor Companies of every description and also including, without limitation, all the movables and immovable properties and assets of the Transferor Companies comprising amongst others all freehold and leasehold lands, freehold and leasehold buildings, entitlements, licenses, registrations, patents, trade names, trademarks, leases, tenancy rights, flats, benefits of agreements and arrangements, powers, authorities, permits, allotments, approvals, permissions, sanctions, consents, privileges, liberties, easements, work-in-progress, current assets, investments, vehicles, furniture and fixtures, computers, office equipments, licenses, all other

interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits and approvals, shall without any further act or deed, but subject to the charges affecting the same be transferred and/or deemed to be transferred to and vested in the Transferee Company as a going concern so as to become the assets and liabilities of the Transferee Company. Provided always that the Scheme shall not operate to enlarge the security for any loan, deposit or facility availed of by the Transferor Companies and the Transferee Company shall not be obliged to create any further or additional security therefore after the Effective Date or otherwise.

5. The Transferee Company shall without any further application, act, instrument or deed, issue and allot to the equity shareholders of the Transferor Companies whose names are recorded in the Register of Members on the Effective Date, or to his/her heirs, executors, administrators or the successors-in-title as the case may be in the following manner:

"3.62 Equity Shares of the Company of the face value of Rs. 10/- at par each credited as fully paid-up, for every 100 (Hundred) Equity Shares of the face value of Rs. 10/- each fully paid-up held by such members in ENSPL.

102.10 Equity Shares of the Company of the face value of Rs. 10/- at par each credited as fully paid-up, for every 100 (Hundred) Equity Shares of the face value of Rs. 10/- each fully paid-up held by such members in TSPL".

Any fraction arising out of allotment of equity shares shall be rounded off to the nearest integer and the balance amount if any shall be paid in cash.

6. The Regional Director, Southern Region (In short, '**RD**') in his Affidavit dated 14.02.2019 submitted that Clause 11, Part-II of the Scheme provides for the protection of the interest of the employees of the Transferor Companies. It has further been submitted that as per the report of the RoC, Chennai, the Transferor Companies and Transferee Company are regular in filing their statutory returns. He has further submitted that no complaints are pending and no inspection or investigation has been conducted against the Petitioner Companies.

7. The RD has also observed that Clause 5.8, Part II of the Scheme has stated that the authorised capital of the Transferor Companies will be merged with the authorised capital of the Transferee Company. Therefore, the Transferee Company may be directed to file the amended MoA and AoA with the RoC, Chennai for records, and pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the Transferor Companies. The RD has not made any further objection. In relation to the observation made by the RD in his report, the authorised representative of the Transferee Company has filed an Undertaking stating therein that the Transferee Company undertakes to pay the requisite statutory fee payable upon increase of the authorised share capital of the Transferee Company as per the applicable legal provisions and file the amended MoA and AoA with the concerned RoC.

8. The Official Liquidator (In short, **'OL'**) in his Report dated 09.04.2019, submitted that on receiving the copy of the Order dated 18.09.2018, he has nominated Mr. K Sundara Satagopan, Chartered Accountant, who is one of the empanelled Auditors by the Hon'ble High Court of Madras to look into the Scheme, and to scrutinize the books of accounts of the Transferor Companies. The Auditor has verified the books and accounts of the Transferor Companies. The OL's representative further submitted that the Petition may be decided appropriately. He further submitted that the Chartered Accountants on the basis of the above observations concluded that the affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interest of its members or creditors or the public and had no objections to the Scheme.

9. The Transferee Company has further filed an affidavit dated 16.04.2019 stating that the Scheme of Amalgamation does not fall within the threshold as provided under the Competition Act, 2002 and the said Applicant Companies are not required to obtain any approval from the Competition Commission of India.

10. As mentioned in Clause 6 of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards. The Appointed date of the said Scheme is 01.04.2018.

11. There is no additional requirement for any modification and the said Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public

policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petitions are allowed and the Scheme of Amalgamation annexed with the Petition(s) is hereby sanctioned. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Petitioner Companies.

12. While approving the Scheme as above, It is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

13. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

14. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

15. The Transferor Companies 1 & 2 shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

16. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Companies 1 & 2 respectively with that of the Transferee Company and the files relating to the Transferor Companies 1 & 2 shall be consolidated with the files and records of the Transferee Company.

17. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

18. Accordingly, the Scheme stands sanctioned and CP/590-592/CAA/2019 stand **disposed of.**

-Sd-
(S. VIJAYARAGHAVAN)
Member (Technical)

-Sd-
(B. S.V. PRAKASH KUMAR)
Member (Judicial)

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